credit card even before you know it is stolen. All this means that we have the infrastructure to provide cheap and safe payments and remittances. What we need are non-governmental players to utilize this infrastructure to provide the products and access that people want.

With over 900 million mobile phones, the potential for mobile banking as a delivery channel for financial services is a big opportunity in India. We have consciously adopted the bank-led model for mobile banking, while the non-banks, including mobile network operators, have been permitted to issue mobile wallets, where cash withdrawal is not permitted as of now. The key to cheap and universal payments and remittances will be if we can find a safe way to allow funds to be freely transferred between bank accounts and mobile wallets, as well as cashed out of mobile wallets, through a much larger and ubiquitous network of business correspondents. The Dr Nachiket Mor Committee suggests the creation of Payment Banks as a step towards this goal. Other suggestions include interoperable business correspondents who will get the scale economies to serve in remote locations, and the usage of NBFCs as banking correspondents. We will examine all this.

In the meantime, interesting solutions are emerging. Cashing out is important for remittances, because we have a large recipient population in the country, most of whom do not have access to formal banking services. We have recently approved the in-principle setting up of a payment system which will facilitate the funds transfer from bank account holders to those without accounts through ATMs. Essentially, the sender can have the money withdrawn from his account through an ATM transaction. The intermediary processes the payment, and sends a code to the recipient on his mobile that allows him to withdraw the money from any nearby bank's ATM. The system